



Aitken Spence Hotel Holdings PLC

Interim Statement - 1st Quarter

(For the three months ended 30th June 2017)

Income Statement

For the three months ended 30th June	Group		Company	
	2017 Rs.' 000	2016 Rs.' 000	2017 Rs.' 000	2016 Rs.' 000
Revenue	3,518,904	2,774,690	124,812	111,111
Revenue Tax	(100,420)	(78,673)	(2,666)	(2,992)
Net Revenue	3,418,484	2,696,017	122,146	108,119
Other operating Income/(Expenses)	61,392	(9,412)	3,809	1,957
Staff Costs	(768,774)	(647,569)	(41,262)	(39,217)
Depreciation	(416,736)	(278,622)	(15,904)	(14,627)
Amortisation	(28,152)	(29,933)	(133)	(10)
Other Operating Expenses - Direct	(873,119)	(619,703)	(40,234)	(36,283)
Other Operating Expenses - Indirect	(1,377,535)	(1,120,041)	(65,205)	(58,432)
Profit/(Loss) from Operations	15,560	(9,263)	(36,783)	(38,493)
Finance Income	42,138	47,272	4,687	2,146
Finance Expenses	(230,880)	(155,723)	(52,311)	(598)
Net Finance Income/(Expenses)	(188,742)	(108,451)	(47,624)	1,548
	(173,182)	(117,714)	(84,407)	(36,945)
Share of Profit/(Loss) of equity accounted investees (net of tax)	(57,558)	(28,663)	-	-
Profit/(Loss) before Tax	(230,740)	(146,377)	(84,407)	(36,945)
Income Tax Expense	(68,516)	(55,895)	3,257	2,466
Profit/(Loss) for the period	(299,256)	(202,272)	(81,150)	(34,479)
Attributable to:				
Equity Holders of the Parent Company	(220,599)	(173,146)	(81,150)	(34,479)
Non - controlling interests	(78,657)	(29,126)	-	-
	(299,256)	(202,272)	(81,150)	(34,479)
Earnings/(Loss) per share for the period - Rs. (Basic / Diluted)	(0.67)	(0.53)	(0.25)	(0.11)

The above figures are provisional and subject to Audit.

Colombo
10th August 2017

Statement of Comprehensive Income

For the three months ended 30th June	Group		Company	
	2017 Rs.' 000	2016 Rs.' 000	2017 Rs.' 000	2016 Rs.' 000
Profit/ (Loss) for the period	(299,256)	(202,272)	(81,150)	(34,479)
Other Comprehensive Income				
Items that will never be reclassified to profit or loss				
Revaluation of property, plant and equipment	-	-	-	-
Share of other comprehensive income of equity accounted investees	-	-	-	-
Actuarial gains/ (losses) on defined benefit obligations	-	-	-	-
Income tax on actuarial gains / (losses) arising from retirement benefit obligations	-	-	-	-
	-	-	-	-
Items that are or may be reclassified to profit or Loss				
Foreign currency translation differences of foreign operations	290,109	136,244	-	-
Net movement on cashflow hedges	(474,257)	-	-	-
Net change in fair value of available for sale financial assets	-	-	-	-
	(184,148)	136,244	-	-
Other comprehensive income for the period net of tax	(184,148)	136,244	-	-
Total comprehensive income for the period net of tax	(483,404)	(66,028)	(81,150)	(34,479)
Attributable to:				
Equity Holders of the Parent Company	(348,003)	(33,445)	(81,150)	(34,479)
Non - controlling interests	(135,401)	(32,583)	-	-
	(483,404)	(66,028)	(81,150)	(34,479)

The above figures are provisional and subject to Audit

Consolidated Statement of Financial Position

As at	30.06.2017 Rs.' 000	30.06.2016 Rs.' 000	31.03.2017 Rs.' 000
ASSETS			
Non Current Assets			
Property, plant and equipment	38,642,709	23,404,199	37,687,160
Leasehold properties	2,043,552	2,016,733	2,042,460
Prepaid operating leases	1,795,157	1,761,965	1,791,169
Intangible assets	406,579	386,804	404,612
Investment in equity accounted investees	1,236,868	4,953,549	1,294,427
Other investments	126,650	202,395	126,650
Deferred tax assets	164,499	140,650	157,760
	44,416,014	32,866,295	43,504,238
Current Assets			
Inventories	403,194	308,979	476,821
Trade and other receivable	1,222,086	866,224	1,946,990
Amount due from ultimate holding company	210,975	22,557	355,663
Amount due from parent's group entities	259,392	346,328	442,096
Deposits & prepayments	685,790	747,891	704,549
Current Portion of Leasehold Properties	66,314	85,161	71,557
Current tax receivable	19,131	8,529	11,077
Term deposits	1,235,524	1,217,616	2,349,518
Cash and cash equivalents	1,883,649	1,284,459	2,315,478
	5,986,055	4,887,744	8,673,749
TOTAL ASSETS	50,402,069	37,754,039	52,177,987
EQUITY AND LIABILITIES			
Equity Attributable to equity holders of the Parent			
Stated capital	3,554,587	3,554,587	3,554,587
Reserves	4,227,127	3,785,901	4,352,819
Retained earnings	10,948,036	10,596,646	11,254,420
	18,729,750	17,937,134	19,161,826
Non Controlling Interests	8,135,461	5,493,786	8,270,862
Total Equity	26,865,211	23,430,920	27,432,688
Non Current Liabilities			
Interest - bearing borrowings	15,575,553	7,713,480	14,450,707
Government grants	104	260	143
Deferred tax liabilities	401,146	246,357	368,880
Other Liabilities	669,300	-	597,833
Employee benefits	179,962	181,897	177,462
	16,826,065	8,141,994	15,595,025
Current Liabilities			
Trade payables	486,663	345,474	640,690
Other provisions & payables	2,337,215	1,996,344	2,847,517
Amount due to ultimate holding company	112,963	190,255	348,329
Amount due to parent's group entities	175,443	97,030	129,916
Interest bearing borrowings	1,998,021	2,012,419	3,311,162
Current tax payable	148,527	340,685	126,341
Short term bank borrowings	1,367,888	778,555	1,746,319
Dividends payable	84,073	420,363	-
	6,710,793	6,181,125	9,150,274
Total Liabilities	23,536,858	14,323,119	24,745,299
TOTAL EQUITY AND LIABILITIES	50,402,069	37,754,039	52,177,987
Net Asset value per share (Rs.)	55.20	52.85	56.49

The above figures are provisional and subject to Audit.

The Chief Financial Officer certifies that the Financial Statements have been prepared in compliance with the requirement of the Companies Act No. 07 of 2007.

The Board of Directors is responsible for the preparation and presentation of these financial statements.



D.H.S Jayawardena
Chairman
Colombo
10th August 2017



J.M.S Brito
Managing Director



D.G.P. Ekanayake
Assistant Vice President - Finance

Company Statement of Financial Position

As at	30.06.2017 Rs.' 000	30.06.2016 Rs.' 000	31.03.2017 Rs.' 000
ASSETS			
Non Current Assets			
Property, plant and equipment	1,554,946	1,360,112	1,541,933
Intangible assets	1,289	4	1,423
Investments in subsidiaries and joint ventures	7,585,526	4,234,420	7,585,526
Investment in equity accounted investees	1,094,994	4,024,336	1,094,994
Deferred tax assets	27,613	7,815	24,356
	10,264,368	9,626,687	10,248,232
Current Assets			
Inventories	24,582	21,964	22,836
Trade and other receivable	49,152	46,612	110,119
Amount due from ultimate holding company	-	10,780	-
Amount due from parent's group entities	277,670	412,096	321,952
Deposits & prepayments	33,678	14,182	23,410
Current tax receivable	4,104	550	3,433
Short term deposits	100,000	-	100,000
Cash and cash equivalents	645,038	81,004	742,323
	1,134,224	587,188	1,324,073
TOTAL ASSETS	11,398,592	10,213,875	11,572,305
EQUITY AND LIABILITIES			
Equity Attributable to equity holders of the parent			
Stated capital	3,554,587	3,554,587	3,554,587
Reserves	722,139	662,139	722,139
Retained earnings	4,917,229	4,574,400	5,082,452
Total Equity	9,193,955	8,791,126	9,359,178
Non Current Liabilities			
Interest - bearing borrowings	866,800	-	933,400
Employee benefits	30,839	34,122	29,361
	897,639	34,122	962,761
Current Liabilities			
Trade creditors	17,058	18,047	27,109
Other Provisions & payables	110,480	94,697	170,339
Amount due to ultimate holding company	212,748	27,071	207,530
Amount due to parent's group entities	727,062	803,202	660,903
Interest bearing borrowings	133,200	-	66,600
Current tax payable	-	4,381	-
Short term bank borrowings	22,377	20,866	117,885
Dividends payable	84,073	420,363	-
	1,306,998	1,388,627	1,250,366
Total Liabilities	2,204,637	1,422,749	2,213,127
TOTAL EQUITY AND LIABILITIES	11,398,592	10,213,875	11,572,305
Net Asset value per share (Rs.)	26.85	25.65	27.34

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The Chief Financial Officer certifies that the Financial Statements have been prepared in compliance with the requirement of the Companies Act No. 07 of 2007.



D.H.S Jayawardena
Chairman

Colombo
10th August 2017



J.M.S Brito
Managing Director



D.G.P. Ekanayake
Assistant Vice President - Finance

Statement of Changes in Equity

For the three months ended 30th June 2016

GROUP	Attributable to Equity Holders of the parent									
	Stated Capital	Reserves	Foreign Currency Translation Reserve	Available for Sale Reserve	Cashflow hedge Reserve	Revaluation Reserve	Retained Earnings	Total Interests	Non Controlling	Total Equity
	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000
Balance as at 01st April 2016	3,554,587	22,929	1,206,039	38,630	-	2,378,602	11,205,005	18,405,792	5,429,111	23,834,903
Profit/(Loss) for the period	-	-	-	-	-	-	(173,146)	(173,146)	(29,126)	(202,272)
Other comprehensive income	-	-	139,701	-	-	-	-	139,701	(3,457)	136,244
Total Comprehensive Income	-	-	139,701	-	-	-	(173,146)	(33,445)	(32,583)	(66,028)
Effect of acquisition and change to percentage holding in subsidiaries	-	-	-	-	-	-	-	-	97,258	97,258
Dividends - 2015/16	-	-	-	-	-	-	(435,213)	(435,213)	-	(435,213)
Balance as at 30th June 2016	3,554,587	22,929	1,345,740	38,630	-	2,378,602	10,596,646	17,937,134	5,493,786	23,430,920
Balance as at 01st April 2017	3,554,587	22,929	1,718,952	-	-	2,610,938	11,254,420	19,161,826	8,270,862	27,432,688
Profit/(Loss) for the period	-	-	-	-	-	-	(220,599)	(220,599)	(78,657)	(299,256)
Other comprehensive income	-	-	157,150	-	(284,554)	-	-	(127,404)	(56,744)	(184,148)
Total Comprehensive Income	-	-	157,150	-	(284,554)	-	(220,599)	(348,003)	(135,401)	(483,404)
Transfers to reserves	-	1,712	-	-	-	-	(1,712)	-	-	-
Dividends - 2016/17	-	-	-	-	-	-	(84,073)	(84,073)	-	(84,073)
Balance as at 30th June 2017	3,554,587	24,641	1,876,102	-	(284,554)	2,610,938	10,948,036	18,729,750	8,135,461	26,865,211

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Statement of Changes in Equity

COMPANY	Stated Capital Rs '000	Reserves Rs '000	Revaluation Reserve Rs '000	Retained Earnings Rs '000	Total Rs '000
Balance as at 01st April 2016	3,554,587	22,929	639,210	5,044,092	9,260,818
Profit/(Loss) for the period	-	-	-	(34,479)	(34,479)
Other Comprehensive Income	-	-	-	-	-
Total Comprehensive Income	-	-	-	(34,479)	(34,479)
Dividends - 2015/16	-	-	-	(435,213)	(435,213)
Balance as at 30th June 2017	3,554,587	22,929	639,210	4,574,400	8,791,126
Balance as at 01st April 2017	3,554,587	22,929	699,210	5,082,452	9,359,178
Profit/(Loss) for the period	-	-	-	(81,150)	(81,150)
Other Comprehensive Income	-	-	-	-	-
Total Comprehensive Income	-	-	-	(81,150)	(81,150)
Dividends - 2016/17	-	-	-	(84,073)	(84,073)
Balance as at 30th June 2017	3,554,587	22,929	699,210	4,917,229	9,193,955

The above figures are provisional and subject to Audit.

Cash Flow Statement

	GROUP		COMPANY	
For the three months ended	30.06.2017 Rs.' 000	30.06.2016 Rs.' 000	30.06.2017 Rs.' 000	30.06.2016 Rs.' 000
Cash flow from operating activities				
Profit / (Loss) before Taxation	(230,740)	(146,377)	(84,407)	(36,945)
Adjustments for				
Depreciation	416,736	278,622	15,904	14,627
Amortisation	28,152	29,933	133	10
Amortisation of government grants	(39)	(39)	-	-
Provision for impairment of debtors	6,834	15,285	844	257
Interest expense	230,880	155,723	52,311	598
Interest income	(42,138)	(47,272)	(4,687)	(2,146)
Profit/(Loss) on sale of property, plant and equipment	-	(1,750)	-	-
Provision for Employee Benefits	10,257	8,792	2,115	1,970
Share of (Profit)/Loss of equity accounted investees net of tax	57,558	28,663	-	-
	477,500	321,580	(17,787)	(21,629)
Operating profit before working capital changes				
(Increase) / Decrease in inventories	73,627	(5,559)	(1,746)	(3,331)
(Increase) / Decrease in trade and other receivables	718,070	388,729	64,616	82,075
(Increase) / Decrease in amount due from ultimate holding company	144,688	11,266	-	3,656
(Increase) / Decrease in amount due from parents group entities	182,704	27,963	44,282	(52,990)
(Increase) / Decrease in deposits and prepayments	18,759	(57,941)	(10,268)	(9,009)
Increase / (Decrease) in Trade Creditors	(154,027)	(72,238)	(10,051)	(15,371)
Increase / (Decrease) in provisions and other payables	(510,302)	(369,954)	(59,859)	(21,943)
Increase / (Decrease) in amount due to ultimate holding company	(235,366)	34,451	5,218	2,745
Increase / (Decrease) in amount due to parents group entities	45,527	(551)	66,159	1,864
Cash Generated/ (used in) from Operations	761,180	277,746	80,564	(33,933)
Interest paid	(230,880)	(155,723)	(52,311)	(598)
Gratuity Paid	(8,366)	(2,060)	(637)	(783)
Income tax paid	(28,857)	(31,884)	(671)	(550)
Net cash generated/(used in) from operating activities	493,077	88,079	26,945	(35,864)
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Cash Flow Statement

For the three months ended	GROUP		COMPANY	
	30.06.2017 Rs.' 000	30.06.2016 Rs.' 000	30.06.2017 Rs.' 000	30.06.2016 Rs.' 000
Net Cash generated / (used in) from operating activities	493,077	88,079	26,945	(35,864)
Cash Flows from Investing Activities				
Purchase of property plant and equipment	(1,119,017)	(470,091)	(28,917)	(3,928)
Purchase of Intangible Assets	(1,967)	(2,816)	-	-
Proceeds from sale of property, plant & equipment	-	3,614	-	-
Proceeds / (Purchase) of term deposits	1,113,994	933,647	-	-
Interest received from deposits	42,138	44,974	195	2,065
Net cash flow / (used in) from investing activities	35,148	509,328	(28,722)	(1,863)
Cash Flows from financing activities				
Repayment of long term borrowings	(755,471)	(381,002)	-	-
Share issued by Subsidiaries	-	97,258	-	-
Net cash flow (used in) from financing activities	(755,471)	(283,744)	-	-
Net Increase / (Decrease) in cash & cash equivalents	(227,246)	313,663	(1,777)	(37,727)
Cash & cash equivalents at the beginning of the period				
adjusted for effect of exchange rate change	743,007	192,241	624,438	97,865
Cash & cash equivalents at the end of the period	515,761	505,904	622,661	60,138
Analysis of cash & cash Equivalents at the end of the period				
Cash at Bank and in hand and short term deposits	1,883,649	1,284,459	645,038	81,004
Bank Overdrafts	(1,367,888)	(778,555)	(22,377)	(20,866)
	515,761	505,904	622,661	60,138

The above figures are provisional and subject to Audit.

Notes to the Interim Financial Statements

1 Segmental Results

1.1 Revenue

	External	GROUP Intra Group	Total Revenue	
<i>For the three months ended 30th June</i>			2017	2016
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Sri Lankan Sector				
Resorts and Hotels	959,111	812	959,923	706,838
Others	4,608	78,098	82,706	87,707
Total Sri Lankan Sector	963,719	78,910	1,042,629	794,545
South Asian and Middle East Sector	2,555,185	22,529	2,577,714	2,070,176
	3,518,904	101,439	3,620,343	2,864,721
Intra Group			(101,439)	(90,031)
Total			3,518,904	2,774,690

1.2 Profit / (Loss) before taxation

	GROUP	
<i>For the three months ended 30th June</i>	2017	2016
	Rs. '000	Rs. '000
Sri Lankan Sector		
Resorts and Hotels	(164,716)	(35,448)
Others	8,486	11,012
	(156,230)	(24,436)
Share of Profit/(Loss) of equity accounted investees	(57,558)	(28,663)
Total Sri Lankan Sector	(213,788)	(53,099)
South Asian and Middle East Sector	(16,952)	(93,278)
Total	(230,740)	(146,377)

1.3 Total Assets

	GROUP	
<i>For the three months ended 30th June</i>	2017	2016
	Rs. '000	Rs. '000
Sri Lankan Sector		
Resorts and Hotels	22,159,509	9,883,618
Others	538,253	851,923
	22,697,762	10,735,541
Share of Assets of equity accounted investees	1,215,393	3,834,064
Total Sri Lankan Sector	23,913,155	14,569,605
South Asian and Middle East Sector	26,488,914	23,184,434
Total	50,402,069	37,754,039

Notes to the Financial Statements

- 2** The Financial statements of the Company and those consolidated with such for the interim period have been prepared on the same accounting policies and methods of computations as in the most recent audited financial statements and are in compliance with LKAS 34-Interim Financial Reporting.
- 3** The interim financial statements for the three months ended 30th June 2017 were authorised for issue by the Board of Directors on 10th August 2017.
- 4** The accounting policies have been consistently applied by the Group and are consistent with those used in the previous year. The presentation and classification of the financial statements of the previous year have been amended where relevant to be comparable with those of the current year.
- 5** The company paid a final ordinary dividend of cts. 25 per share for the year ended 31st March 2017 on 11th July 2017 after it was approved by the board. Total interim ordinary dividend payment amounted to Rs. 84,072,503/-.
- 6** **Cash flow hedging**
During the period under review Ahungalla Resorts Ltd., a group company, designated its identified foreign currency loan as the hedging instrument in order to hedge against the company's exposure to the changes in foreign exchange rates on the variable cash flows from the highly probable future foreign currency revenue.
Consequently the effective portion of gain or loss on the hedging instrument will be recognised in the cash flow hedge reserve, through other comprehensive income while any ineffective portion will be recognised immediately in the statement of profit or loss.
- 7** There were no material events subsequent to the end of the reporting date which require disclosure in the interim financial statements.
- 8** Two months of the period under review relates to the off season of the tourism industry both in Sri Lanka and overseas, the group operates.
- 9** There were no material change in contingent liabilities which were disclosed in the Annual Report for the year ended 31st March 2017.
- 10** There was no liability to management fees or any other similar expenditure not provided for in the interim financial statements.

Investor Information

1 Share Information

	For the Quarter Ended		
	30.06.2017	30.06.2016	
Market Price per Share			
- Highest (Rs.)	42.00	64.00	
- Lowest (Rs.)	34.10	51.60	
Last Traded Price (Rs.)	38.00	54.00	
Number of shares represented by the stated capital			
- Ordinary	336,290,010	336,290,010	336,290,010
- Preference	16,500,000	16,500,000	16,500,000

- 2** Percentage of shares held by the public as at 30th June 2017 is 25.41%. Number of public shareholders as at 30th June 2017 was 3,409.

Notes to the Interim Financial Statements

3 Share held by the Directors are as follows:

Name of the Director	Position	No of Shares 30.06.2017	No of Shares 30.06.2016
Mr. D.H.S Jayawardena	Chairman	-	-
Mr. J.M.S Brito	Managing Director	278,023	111,596
Ms. D.S.T Jayawardena	Director	16,000	16,000
Mr. C.M.S Jayawickrama	Director	-	-
Mr. G.P.J Goonewardena (resigned w.e.f 30.06.2017)	Director	5,460	5,460
Mr. R.N Asirwatham	Director	1,000	1,000
Mr. C.H Gomez	Director	-	-
Mr. N.J. de S. Deva Aditya	Director	-	-

4 Twenty Largest Shareholders as at 30th June 2017

Name of the Share Holder	No of Shares	%
Aitken Spence PLC - A/C No. 1	239,472,667	71.21%
Employees Provident Fund	31,501,601	9.37%
Sri Lanka Insurance Corporation Ltd. - Life Fund	5,518,727	1.64%
Ace Cargo (Pvt) Ltd	4,423,601	1.32%
Aitken Spence Hotel Managements (Pvt) Ltd	3,530,639	1.05%
Aitken Spence Aviation (Pvt) Ltd.	2,604,140	0.77%
Bank of Ceylon No 01 Account	2,547,422	0.76%
Employees Trust Fund Board	2,370,705	0.70%
The Ceylon Guardian Investments Trust PLC A/C # 02	2,245,982	0.67%
National Savings Bank	2,102,133	0.63%
G.C Wickremasinghe	2,082,241	0.62%
The Ceylon Investments PLC # 02	1,283,675	0.38%
A.T Wickramasinghe	1,245,004	0.37%
Bank of Ceylon A/C Ceybank Century Growth Fund	1,039,315	0.31%
F. A.A Mack	1,004,550	0.30%
M.J Fernando	1,000,000	0.30%
K Fernando	991,149	0.29%
Ceylon Investments PLC # 01	985,900	0.29%
Phoenix Ventures Private Ltd	831,390	0.25%
Rubber Investment Trust Ltd A/C # 01	826,548	0.25%
	307,607,389	91.47%

Corporate Information as at 30.06.2017

Directors

Mr. D.H.S Jayawardena - (Chairman)
Mr. J.M.S Brito . LLB, FCA, MBA (Managing Director)
Ms. D.S.T Jayawardena
Mr. C.M.S Jayawickrama FCMA
Mr. G.P.J Goonewardena - (resigned with effect from 30.06.2017)
Mr. R.N Asirwatham - FCA
Mr. C.H Gomez
Mr. N.J. de S. Deva Aditya DL, FRSA, MEP

Legal Form

A public quoted company with limited liability,
incorporated in Sri Lanka on 14th March 1978

Secretaries

P W Corporate Secretarial (Pvt) Ltd
3/17, Kynsey Road, Colombo 8
Tel : (9411) 464360-3
Fax : (9411) 474058

Registered Address

No 315, Vauxhall Street
Colombo 02
Sri Lanka
Tel : (9411) 2308308